

IN THE HIGH COURT OF DELHI AT NEW DELHI

Civil Appeal No. 4520/2024

Date of Decision: 15-03-2024

ABC Pvt Ltd ... Appellant

VERSUS

XYZ Corporation ... Respondent

FACTS OF THE CASE:

1. The appellant entered into a commercial contract dated 12-01-2022.
2. A breach occurred under Section 71 of the Indian Contract Act, 1872.

ISSUES:

1. Whether Section 73 of the Contract Act applies to liquidated damages?

REASONING & DECISION:

The Court analyzed the provisions of Section 73 and Section 74.

Proof of actual damage is necessary unless liquidated damages represent genuine pre-estimate.

RATIO DECIDENDI:

Section 73 mandates proof of loss before claiming compensation for breach.

DECISION:

Appeal is allowed. Costs awarded to appellant.